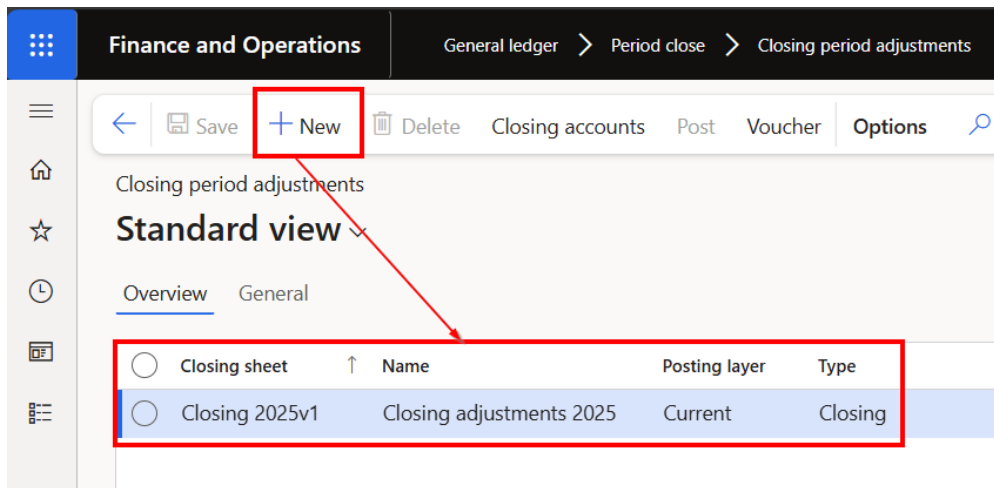


Financial Year - End: Closing Period Adjustments in D365FO

During the **year-end close** in **Dynamics 365 Finance**, the standard *Year-end close* process is used to calculate the financial result for the closing year and carry forward balances into the new fiscal year—a mandatory step for all organizations using D365FO.

In addition, **Closing Period Adjustments** can be leveraged to post final year-end adjustments *before* executing the year-end close. These adjustments are recorded in the designated **closing period**, allowing finance teams to refine balances in a controlled and auditable manner.

This process begins from the **Closing Period Adjustments** form, where a new line is created to prepare a **closing sheet**—for example, for fiscal year 2025—prior to running the final year-end closing.



Finance and Operations | General ledger > Period close > Closing period adjustments

← Save + New Delete Closing accounts Post Voucher Options

Closing period adjustments

Standard view ✓

Overview General

	Name	Posting layer	Type
☐ Closing sheet			
☐ Closing 2025v1	Closing adjustments 2025	Current	Closing

On the **General** tab, the posting date is specified, ensuring that all entries are posted to the **Closing** period type.

Finance and Operations General ledger > Period close > Closing period adjustments

← Save + New Delete Closing accounts Post Voucher Options

Closing period adjustments

Standard view ▾

Overview **General**

PERIOD	POSTING	TOTALS
From 1-1-2025	Voucher	Trial balance 0,00
To 31-12-2025	Post 31-12-2025	Transfer 0,00
	Posting layer Current ▾	Result 0,00
	Type Closing ▾	Balance 0,00
	Closing fiscal period Closing	Capital 0,00

Once the setup is complete, the **Closing Accounts** option can be selected from the top of the form to review the current balances on the main accounts and post the required year-end adjustments.

Finance and Operations General ledger > Period close > Closing period adjustments

← Save + New Delete **Closing accounts** Post Voucher Options

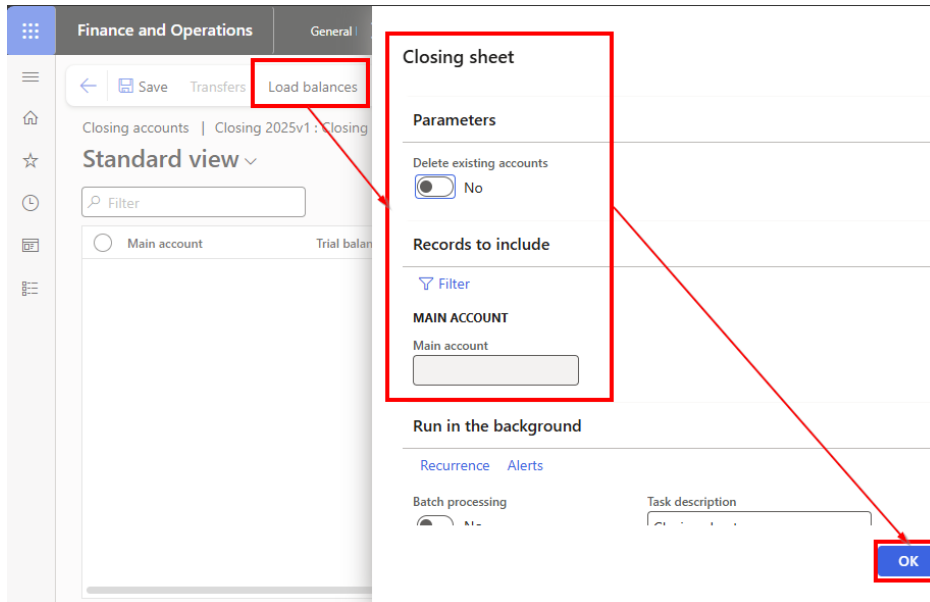
Closing period adjustments

Standard view ▾

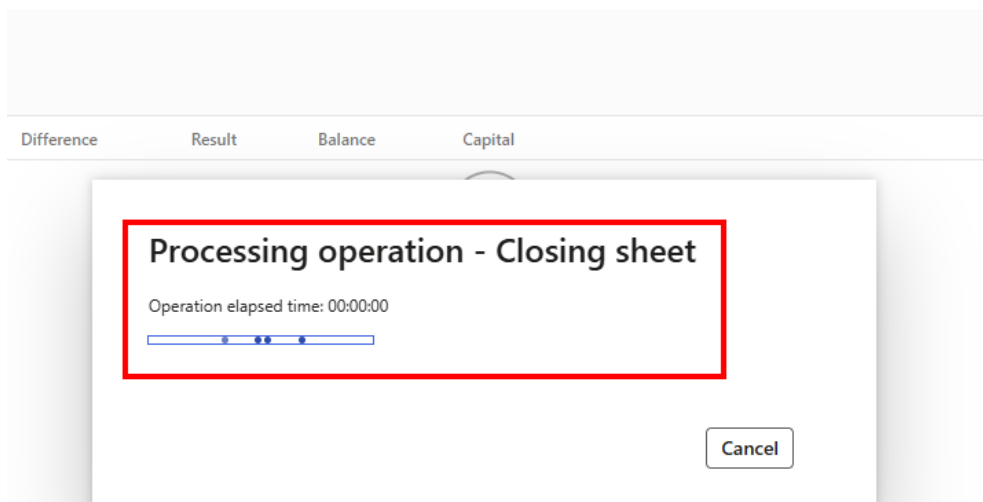
Overview **General**

PERIOD	POSTING	TOTALS
From 1-1-2025	Voucher	Trial balance 0,00
To 31-12-2025	Post 31-12-2025	Transfer 0,00
	Posting layer Current ▾	Result 0,00
	Type Closing ▾	Balance 0,00

When the **closing sheet** is opened for the first time, it initially appears empty. The **Load Balances** option can then be used to retrieve the current main account balances, allowing year-end adjustments to be applied as needed.



Loading these balances can take some time:



When finished the current balances are presented:

Finance and Operations									
General ledger > Period close > Closing period adjustments									
Operation completed									
← Save Transfers Load balances Post Options 🔍									
Closing accounts Closing 2025v1 : Closing adjustments 2025									
Standard view ▾									
Filter									
		Main account	Trial balance	Transfer	Reconciled	Difference	Result	Balance	Capital
☐	☐	110110	-6.257,12	0,00	☐	-6.257,12	0,00	0,00	0,00
		110115	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110120	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110130	-132,28	0,00	☐	-132,28	0,00	0,00	0,00
		110140	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110150	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110160	-8.000.000,8...	0,00	☐	-8.000.000,8...	0,00	0,00	0,00
		110180	17.144,07	0,00	☐	17.144,07	0,00	0,00	0,00
		112000	-1.850,21	0,00	☐	-1.850,21	0,00	0,00	0,00
		112010	387,63	0,00	☐	387,63	0,00	0,00	0,00
		112100	-133,33	0,00	☐	-133,33	0,00	0,00	0,00
		112110	0,00	0,00	☐	0,00	0,00	0,00	0,00
		112120	0,00	0,00	☐	0,00	0,00	0,00	0,00
		112130	0,00	0,00	☐	0,00	0,00	0,00	0,00

When you want to adjust a value on a main account you can select the line an at the top of the form you can click on 'Transfers':

You can now enter one or more adjustment lines for the main account, selecting the appropriate **offset account** for each line. Where required, **financial dimension values** can also be specified to ensure accurate year-end transfers.

Finance and Operations		General ledger > Period close > Closing period adjustments		
		Save	New	Delete Options
Transfers Closing 2025v1 : 0.00				
Standard view				
Filter				
	Ledger account	Description	Offset account	Amount
☒	110160-001-		112100-001-	2.750,00
	110160--		112100--	1.500,00

When these transfer lines are entered and you go back to the closing sheet, you will see the value of the created lines in the column 'Transfer'. Also in the column 'Difference' you can see the new values for these main accounts:

Finance and Operations General ledger > Period close > Closing period adjustment

← Save Transfers Load balances Post Options

Closing accounts | Closing 2025v1 : Closing adjustments 2025

Standard view ▾

Filter

		Main account	Trial balance	Transfer	Reconciled	Difference
		110110	-6.257,12	0,00	☐	-6.257,12
		110115	0,00	0,00	☐	0,00
		110120	0,00	0,00	☐	0,00
		110130	-132,28	0,00	☐	-132,28
		110140	0,00	0,00	☐	0,00
		110150	0,00	0,00	☐	0,00
✓		110160	-8.000.000.8...	4.250,00	☐	-7.999.996.6...
		110180	17.144,07	0,00	☐	17.144,07
		112000	-1.850,21	0,00	☐	-1.850,21
		112010	387,63	0,00	☐	387,63
		112100	-133,33	-4.250,00	☐	-4.383,33
		112110	0,00	0,00	☐	0,00

In this scenario, the updated amount is reflected in the **Difference** column, based on the configuration of the main accounts. The closing sheet also provides visibility into the **Result**, **Balance**, and **Capital** columns for comprehensive review and analysis.

Closing accounts | Closing 2025v1 : Closing adjustments 2025

Standard view ▾

 Filter

☐	<input type="refresh"/>	Main account	Trial balance	Transfer	Reconciled	Difference	Result	Balance	Capital
		110110	-6.257,12	0,00	☐	-6.257,12	0,00	0,00	0,00
		110115	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110120	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110130	-132,28	0,00	☐	-132,28	0,00	0,00	0,00
		110140	0,00	0,00	☐	0,00	0,00	0,00	0,00
		110150	0,00	0,00	☐	0,00	0,00	0,00	0,00
☒		110160	-8.000.000,8...	4.250,00	☐	-7.999.996,6...	0,00	0,00	0,00
		110180	17.144,07	0,00	☐	17.144,07	0,00	0,00	0,00
		112000	-1.850,21	0,00	☐	-1.850,21	0,00	0,00	0,00
☐		112010	387,63	0,00	☐	387,63	0,00	0,00	0,00
		112100	-133,33	-4.250,00	☐	-4.383,33	0,00	0,00	0,00
		112110	0,00	0,00	☐	0,00	0,00	0,00	0,00
		112120	0,00	0,00	☐	0,00	0,00	0,00	0,00

These columns remain empty unless the relevant option is selected on the **main account setup** under **“Field to transfer balance on closing sheet.”** This configuration determines where balances are reflected during the closing process.

Standard view ▾

Main accounts - chart of accounts: Shared

Bank Account - Payroll

Active to

☐ Suspended

LEDGER

Main account type
Asset ▾

Reporting type

Main account category
CASH ▾

Nature code

DB/CR default
Debit ▾

DB/CR requirement

Balance control

Field to transfer balance on closing sh...

Result

Balance

Capital

Default consolidation account

CURRENCY

Default Currency

For example on main account 110160 I select the value 'Capital':

Standard view ▾

Main accounts - chart of accounts: Shared

Bank Account - Payroll

Active to

☐ Suspended

LEDGER

Main account type
Asset ▾

Reporting type

Main account category
CASH ▾

Nature code

DB/CR default
Debit ▾

DB/CR requirement

Balance control

Field to transfer balance on closing sh...

Capital ▾

Close type
Not applicable

CONSOLIDATION

Default consolidation account

CURRENCY

Default Currency

In that case the new value after adjustments will not be presented in the column 'Difference' anymore but in the column 'Capital' from now:

Closing accounts | Closing 2025v1 : Closing adjustments 2025

Standard view ▾

Filter

	Main account	Trial balance	Transfer	Reconciled	Difference	Result	Balance	Capital
☐	110110	-6.257,12	0,00	☐	-6.257,12	0,00	0,00	0,00
	110115	0,00	0,00	☐	0,00	0,00	0,00	0,00
	110120	0,00	0,00	☐	0,00	0,00	0,00	0,00
	110130	-132,28	0,00	☐	-132,28	0,00	0,00	0,00
	110140	0,00	0,00	☐	0,00	0,00	0,00	0,00
	110150	0,00	0,00	☐	0,00	0,00	0,00	0,00
	110160	-8.000.000,8...	4.250,00	☐	0,00	0,00	0,00	-7.999.996.634...
	110180	17.144,07	0,00	☐	17.144,07	0,00	0,00	0,00
	112000	-1.850,21	0,00	☐	-1.850,21	0,00	0,00	0,00
	112010	387,63	0,00	☐	387,63	0,00	0,00	0,00
	112100	-133,33	-4.250,00	☐	-4.383,33	0,00	0,00	0,00
	112110	0,00	0,00	☐	0,00	0,00	0,00	0,00
	112120	0,00	0,00	☐	0,00	0,00	0,00	0,00
	112130	0,00	0,00	☐	0,00	0,00	0,00	0,00
	112140	0,00	0,00	☐	0,00	0,00	0,00	0,00

This is just for this form to categorize these amounts.

When finished you can post the adjustment journal. To be able to post this make sure the Closing period will be open:

Finance and Operations
General ledger > Period close > Ledger calendars

←
☰
Save
Options
🔍

Calendar

Fiscal

Fiscal year

2025

Period 8
 1-8-2025
 31-8-2025

Period 9
 1-9-2025
 30-9-2025

Period 10
 1-10-2025
 31-10-2025

Period 11
 1-11-2025
 30-11-2025

Period 12
 1-12-2025
 31-12-2025

Closing
 31-12-2025
 31-12-2025

Standard view ▾

Ledger calendars

CALENDAR

Calendar

Fiscal

FISCAL YEAR

Start date

1-1-2025

Description

Fiscal Year

End date

31-12-2025

Legal entities

Update period status ▾
Update module access ▾

		Legal entity	Period status
☒	↻	USMF	Open
☐		GLMF	On hold
☐		GBSI	On hold
☐		GLCO	On hold
☐		DEMF	On hold
☐		USRT	On hold
☐		FRRT	On hold
☐		FRSI	On hold
☐		GLRT	On hold
☐		GLSI	On hold
☐		LISS	On hold

Now I can click on 'Post' to post these adjustments. When the closing sheet is posted the balances are taken into the General Ledger. What you can see now is that in the standard view of the trial balances you will not see these changes:

Finance and Operations | General ledger > Inquiries and reports > Trial balance

Balances as of 1 minute(s) ago

Accounting source explorer | All transactions | Fiscal year transactions | By currency | Period | Cash flow forecasts | Columns to display

Personalize
Personalize this page
Add to workspace

Page options
Security diagnostics
Advanced filter or sort
Record info

Share
Get a link
Create a custom alert
Manage my alerts

Trial balance
Standard view

Parameters

Filter

MainAccount	Name	Main accou...	Opening balance	Debit	Credit	Closing balance
110110	Bank Account - USD		0,00	14.528,57	20.785,69	-6.257,12
110130	Bank Account - EUR	CASH	0,00	0,00	132,28	-132,28
110160	Bank Account - Payroll	CASH	0,00	215,08	8.000.001.100,00	-8.000.000.8...
110180	Petty cash	CASH	0,00	17.362,00	217,93	17.144,07
Total		Sum		Sum	Sum	Sum
95 rows			127.610.304....	127.610.304.525,01		0,00

Totals

To view these adjustment values in the **Trial Balance**, select **Columns to Display** and enable the option **Include Closing Period Adjustments in Balances**.

Finance and Operations | General ledger > Inquiries and reports > Trial balance

Balances as of 3 minute(s) ago

Accounting source explorer | All transactions | Fiscal year transactions | By currency | Period | Cash flow forecasts | Columns to display | Trial balance snapshots

Personalize
Personalize this page
Add to workspace

Page options
Security diagnostics
Advanced filter or sort
Record info

Share
Get a link
Create a custom alert
Manage my alerts

Trial balance
Standard view

Parameters

Filter

Columns to display

- ☒ Display segments in separate columns
- ☒ Show opening transactions in Opening balance column
- ☒ Include closing period adjustments in balances
- ☐ Include closing transactions in balances
- ☒ Display main account category

Update

MainAccount	Name	Main accou...	Opening balan...	Debit	Credit
110110	Bank Account - USD		0.00	14.528,57	20.785,69
110130	Bank Account - EUR	CASH	0.00	0,00	132,28
110160	Bank Account - Payroll	CASH	0.00	215,08	8.000.001.100,00
110180	Petty cash	CASH	0.00	17.362,00	217,93
112000	Safe drop	CASH	0.00	20.000.000.4...	20.000.002.329,85
112010	Bank drop	CASH	0.00	6.221,33	5.833,70
112100	Deposits - Cash	CASH	0.00	0,00	133,33
120100	Bonds	SHORTTE...	0.00	0,00	200,00
130100	Accounts Receivable - ...	AR	0.00	345.151,65	264.717,20
130300	Accounts Receivable - ...	AR	0.00	960,00	960,00

Now this column will be added in the trial balance and taken into the calculation of the closing balance:

Finance and Operations General ledger > Inquiries and reports > Trial balance

Balances as of 1 minute(s) ago

Accounting source explorer All transactions Fiscal year transactions By currency Period Cash flow forecasts Columns to display ▾ Trial balance

Personalize
Personalize this page
Add to workspace ▾

Page options
Security diagnostics
Advanced filter or sort
Record info

Share
Get a link ▾ Create a custom alert ▾
Manage my alerts

Trial balance
Standard view ▾

Parameters
Filter

MainAccount	Name	Main accou...	Opening balan...	Debit	Credit	Closing period...	Closing balance
110110	Bank Account - USD		0,00	14.528,57	20.785,69	0,00	-6.257,12
110130	Bank Account - EUR	CASH	0,00	0,00	132,28	0,00	-132,28
110160	Bank Account - Payroll	CASH	0,00	215,08	8.000.001.100,00	4.250,00	-7.999.996,6...
110180	Petty cash	CASH	0,00	17.362,00	217,93	0,00	17.144,07
112000	Safe drop	CASH	0,00	20.000.000.4...	20.000.002.329,85	0,00	-1.850,21
112010	Bank drop	CASH	0,00	6.221,33	5.833,70	0,00	387,63
112100	Deposits - Cash	CASH	0,00	0,00	133,33	-4.250,00	-4.383,33
120100	Bonds	SHORTTE...	0,00	0,00	200,00	0,00	-200,00
130100	Accounts Receivable - ...	AR	0,00	345.151,65	264.717,20	0,00	80.434,45
130300	Accounts Receivable - ...	AR	0,00	960,00	960,00	0,00	0,00
Total				Sum	Sum		Sum
95 rows				127.610.304....	127.610.304.525,01		0,00

As a result, **closing period transactions** are excluded from operational reporting while still being included in the **year-end balances**. In the voucher, these entries are posted with a **31-12-2025** posting date and a **Closing** period type.

Finance and Operations									
General ledger > Inquiries and reports > Trial balance									
Voucher View subledger journal Transaction origin Ledger settlements Show unsettled transactions Show inactive financials									
Transactions for 112100									
Posting type * ▼									
Overview General									
☐	Journal number	Voucher	Date	Type	Ledger account	Account name	Currency	Amount	
☐	021716	GNJL001113	19-3-2025	Operating	112100-003-023	Deposits - Cash	EUR	133,33	
☐	022163	0002	31-12-2025	Closing	112100-001-	Deposits - Cash	USD	2.750,00	
☐	022163	0002	31-12-2025	Closing	112100--	Deposits - Cash	USD	1.500,00	

When the **year-end close for 2025** is initiated, it's important to note that while the process is still running, opening the **Trial Balance** will display a warning indicating that the fiscal year close is not yet completed. During this time, the **opening balances for the new fiscal year are not final and should not be considered accurate** until the process finishes.

Finance and Operations

General ledger > Inquiries and reports > Trial balance

Balance status: Run fiscal close
Balances as of 4 minute(s) ago

Accounting source explorer All transactions Fiscal year transactions By currency Period Cash flow forecasts

Personalize Page options Share

Personalize this page Add to workspace Security diagnostics Advanced filter or sort Record info Get a link Create a custom alert Manage my alerts

Trial balance

Standard view

Parameters

Filter

MainAccount	Name	Main accou...	Opening balan...	Debit	Credit Closi
110110	Bank Account - USD		-6.257,12	0,00	0,00
110130	Bank Account - EUR	CASH	-132,28	0,00	0,00
110160	Bank Account - Payroll	CASH	-8.000.000.8...	0,00	0,00
110180	Petty cash	CASH	17.144,07	0,00	0,00
112000	Safe drop	CASH	-1.850,21	0,00	0,00
112010	Bank drop	CASH	387,63	0,00	0,00
112100	Deposits - Cash	CASH	-133,33	0,00	0,00

Once the **year-end closing** process is completed, the **opening balances for 2026** are generated. These opening balances reflect the prior year's **operational transactions**, together with the **year-end adjustments posted in the closing period**.

Finance and Operations

General ledger > Inquiries and reports > Trial balance

Accounting source explorer All transactions Fiscal year transactions By currency Period

Personalize

Personalize this page
Add to workspace ▾

Page options

Security diagnostics
Advanced filter or sort
Record info

Share

Get a link ▾ Create a custom alert ▾
Manage my alerts

Trial balance

Standard view ▾

Parameters

 Filter

MainAccount	Name	Main accou..	Opening balan...	Debit
110110	Bank Account - USD		-6.257,12	0,00
110130	Bank Account - EUR	CASH	-132,28	0,00
110160	Bank Account - Payroll	CASH	-7.999.996.6...	0,00
110180	Petty cash	CASH	17.144,07	0,00
112000	Safe drop	CASH	-1.850,21	0,00
112010	Bank drop	CASH	387,63	0,00
112100	Deposits - Cash	CASH	-4.383,33	0,00
120100	Bonds	SHORTTE...	-200,00	0,00
130100	Accounts Receivable - ...	AR	80.434,45	0,00
130400	Credit Card Receivable	AR	100,00	0,00